ESPI

BLINDED BY THE LIGHT

STRATEGIC LEVERS TO RECLAIM EUROPE'S INDUSTRIAL EDGE IN SPACE

EXECUTIVE SUMMARY

BLINDED BY THE LIGHT Strategic Levers to Reclaim Europe's Industrial Edge in Space

HIGHLIGHTS

Europe in space is being blinded by the **bright light of disruption** of the global space ecosystem, brought by new industrial challengers like SpaceX, by rising space powers like China, and affecting even the most established institutional global actors like NASA and industries like Boeing.

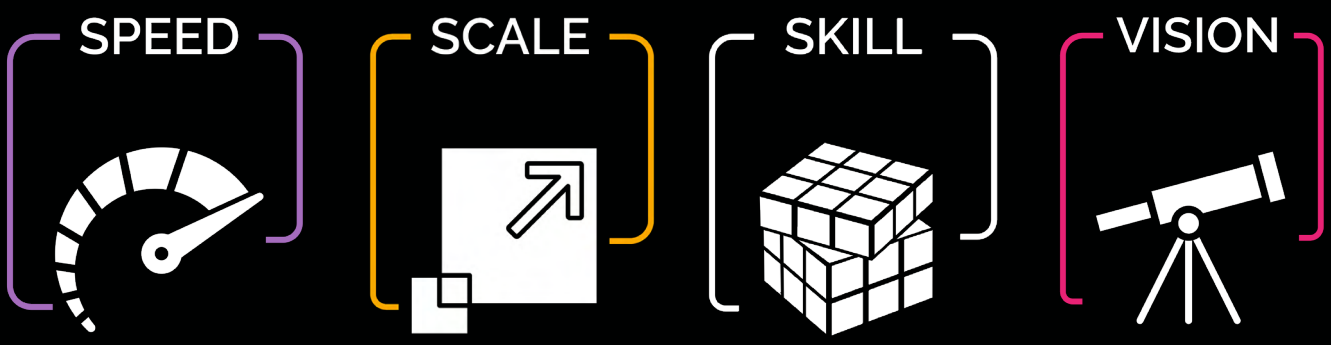
Europe's Competitiveness and Innovation gaps are widening, and **space is no exception**. Once a global export leader across a spectrum of products and services, Europe is now facing a massive challenge in terms of receding market shares, low profitability and an ecosystem that is no longer able to keep pace with global disruptions and evolving needs.

For a long time, confidence in past success blinded Europe to the warning signs of global disruption and new technologies. **Niche competitors and emerging disruptors were often and for too long dismissed as irrelevant until they redefined markets**. The speed and intensity of disruption left leadership in government and industry without clear answers. A whole ecosystem of institutional actors and industry leaders, all used to decades of success in an environment dominated by government contracts, slow innovation cycles, and high-cost programmes, did not succeed in taking timely measures to adapt.

Established industrial players often underestimated the speed and agility of actors of change. New entrants risked not translating ambitions and promises into sustainable business models. Governments focused on preserving their heritage and lagged in adopting commercial partnerships at scale, or reforming procurement models until recent years, when external disruption started forcing a shift.

But, unlike in many other DeepTech industries, the **balance of power is still ours to influence**, as long as Europe acts with bravery and intent. In doing so, it should not only rely on increased defence expenditures for space as a cushion offering short-term relief, but as a springboard for new innovative products, solutions, and services with an ambition to reclaim global markets.

This document provides an overview of the report's **key takeaways and its recommendations to stakeholders of Europe's space ecosystem**. The report expresses ESPI's **own views** stemming from its research and analysis and informed by two high-level workshops held in Luxembourg and Berlin in mid-2025, with **33 high-level participants** from industry, ESPI members, members of the ESPI Advisory Council and external experts, representing **the full value chain of the European space industry and with a wide European footprint**.



READ THE FULL REPORT HERE

ESPI European Space Policy Institute

PUTTING UP A FIGHT
Europe's space Industry is losing market shares, struggling with profitability, and is challenged to keep pace with global innovation. Yet, unlike in many other DeepTech sectors, the balance of power is still ours to influence.

PROSPRITY & PEACE FOR FUTURE GENERATIONS
Only with a thriving and competitive space industry can Europe futureproof its defence, supercharge innovation, boost its champions in the digital economy and in globally competitive sectors such as automotive, agrifood, and pharma.

IT TAKES A VILLAGE
Space in Europe must be addressed through the prism of the full value chain, from the upstream manufacturing industry, satellite operators, to downstream services, and vertical integration into the wider economy. Mature players and new entrants. From Helsinki to Lisbon, from Warsaw to London.

BACK TO THE ROOTS
Europe must acknowledge that Competitiveness and Sovereignty need each other. Above all, sovereignty and increased defence expenditures should not be used as an excuse to justify non-competitiveness and governments fixing markets.

SPEED OF LIGHT
Speed and agility must be at the core of Europe's industrial revival. Without accelerating innovation pipelines, go-to-market strategies and turning them into a strategic advantage, our ambitions for autonomous security and reclaimed market shares are dead on arrival.

MODEL T
As space is embraced by digital hyperscalers and defence industries with sizeable budgets and recurrent needs, the industry is challenged to move from artisanal processes to large scale industrialisation and serialisation. High risk, high reward.

INNOVATION IMPERATIVE
Skill is more than just the (valuable) engineering base. Skill means ensuring disruptive innovation is available to feed large-scale procurement, broadening the talent base to finance, business, policy, and PR, protecting strategic knowledge assets, and capitalising on top-tier global ranking in innovation.

FROM BIDDERS TO BUILDERS
While Europe has no shortage of declared ambition, its translation into capabilities continues to lag. A system-wide impact requires a shared vision that involves industry but also challenges it to think globally and disrupt.

BEYOND THE TEXTBOOK
The corporate world is unforgiving. The report includes ESPI's take on major corporate developments in Europe and whether they are seen as moves protecting interests or spearheading innovation and global growth.

THE WINNING HAND
Europe cannot only rely on traditional partners or past success to secure its future in space. This report sets out actionable short- and mid-term recommendations across Speed, Scale, Skill, and Vision, to align ambition with execution and reclaim competitiveness and sovereignty.

RECOMMENDATIONS FOR EUROPE'S SPACE SECTOR

FAST TRACK PROCUREMENT Apply the lessons of the U.S. SDA's PWSA by integrating time-bound and high-pace development cycles (e.g. ≤18 months to prototype delivery) into Europe's civil and military space development and procurement programmes. As a result of anticipated demand, this would ensure a continued pipeline of innovation, faster deployment and a stronger and more empowered industrial base, stimulating competition across a diverse set of lead actors and supply chains and allowing agility to respond to evolving needs.

BUYING EUROPEAN As practiced in different shades across major space powers globally, determine a clear distinction of European vs. Europe-based procurement, prioritising industrial bids and service offers of companies headquartered in Europe, and under European control. This enables scale and long-term demand, and more importantly ensures long-term benefits of publicly backed innovation, with a positive impact on Europe's competitiveness.

SCALING INNOVATION The space sector needs to ensure and scale a broad and dynamic innovation ecosystem, that exists separately from the main procurement driven programmes and is able to propose and translate early-stage research to be later adopted by procurement programmes. In a global race for innovation, the growth of such schemes needs to (at minimum) be in proportion of Europe's aggregate space budgets, recognising that early-to-mid TRL activities are inherently dual-use and underpin both Europe's civil and defence ambitions in space. The ESA GSTP programme is one such example that should be expanded and paired with direct fast-track links to larger programmes such as Earth Observation, Navigation, and Secure Connectivity.

MOONSHOTS Beyond innovation applicable in the next 5 years, Europe also needs to dare to invest in long-shot technologies, applications that might be 10 years away but may bring about the next wave of transformative change. The inclusion of the space economy as a candidate in the 2028-2034 Horizon Europe Moonshot portfolio needs to be translated into bold industry-led proposals for game-changing applications capable of positioning Europe as a global pioneer.

ECONOMIC SECURITY It is vital that Europe does not lose its key strategic assets to foreign buyouts and influence. A European Strategic Space Fund should be established to act as a last resort to step in as a temporary caretaker when high-risk foreign acquisitions are on the cards, mandated to find a strategically better ownership fit.

FUTURE OF TALENT When defining new European programmes and flagships, these need to include ring-fenced budget lines devoted to the hiring and development of new talent, to ensure long-term programmatic continuity. This should be complemented by strong upskilling and reskilling initiatives from lateral sectors, a boost to EU Blue Card processes with faster procedural deadlines and employee safeguards.

FROM PUSH TO PULL To expand the use of space applications across industry and policy domains such as automotive, transportation, pharmaceuticals, defence, and agriculture, public procurement should provide incentives for the space industry to collaborate with non-space sectors. This can include preferential treatment for mixed consortia or full-stack solutions (e.g. for multi-Domain Operations in defence), or through the provision of space-service subscription support for a limited time period. The efforts can be complemented by a Satellite Users Association, fostering exchange between satellite users, service providers, equipment manufacturers, and operators and doubling down on the customer-focus paradigm.

A SHARED VISION, A SHARED RESPONSIBILITY Create an open platform supporting a dialogue between industry and institutions to help co-shape Europe's long-term space vision and industrial action. This platform would provide the wider industry spectrum with a structured voice for better alignment between political goals, market realities, and strategic autonomy needs. It could regularly provide its views at suitable occasions, industry driven events like ESA Industry Days, the European Space Conference, Weltraumkongress, or CASSINI Entrepreneurship Days. The forum could continuously monitor a set of high-level KPIs on Europe's performance across civil, commercial and military space ambitions, and would be managed by an independent secretariat.

The recommendations have been developed independently by ESPI, in the belief that their implementation will contribute to a better mix of speed, scale, skill and vision, enabling Europe's space sector to continue its transformation, reclaim its competitiveness, and once again set global standards of innovation.